

Financial Projections

Morris Law Kernel v3.5 + IP Protection System · Kevin Morris · July 2026

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Assumptions: Bootstrapped, conservative estimates. Focus on licensing, pilots, and early adoption.

Pricing Models (Proposed)

Model	Description	Price
Setup / Integration Fee	One-time fee for integration support	\$5,000 – \$15,000
Per-User / Per-Project	Monthly or per-project licensing	\$5 – \$25 per user/project
Platform Licensing	Annual license for DAW/platform	\$25,000 – \$100,000+ per year
API Access	Pay-per-verification or monthly subscription	\$0.10 – \$1 per verification or 500–5,000/month
White-Label IP Service	Full IP protection service rebranded	Custom pricing (high margin)

Conservative Revenue Projections

Year 1 (Months 1–12)

- **Q1:** 2–3 paid pilots @ avg 7,500 = **15,000 – \$22,500**
- **Q2:** 1–2 small platform licenses + ongoing pilots = **\$30,000 – \$50,000**
- **Q3–Q4:** 3–5 active licenses + API usage = **\$80,000 – \$120,000**
- **Year 1 Total Revenue: \$125,000 – \$200,000**
- **Gross Margin:** ~85–90% (mostly software + support)

Year 2

- 8–12 active licenses (mix of platform + per-user)
- Growing API/verification usage
- **Projected Revenue: \$350,000 – \$600,000**

Year 3

- 15–25 active customers
- Possible white-label deals or larger platform integrations
- **Projected Revenue: \$800,000 – \$1.5M+**

Cost Structure (Bootstrapped)

Category	Monthly Estimate (Early Stage)	Notes
Founder Salary/Draw	\$3,000 – \$5,000	Minimal draw initially
Cloud / Hosting (API, DB, etc.)	\$200 – \$500	Scales with usage
Tools & Software	\$100 – \$300	GitHub, Notion, Loom, etc.
Marketing / Outreach	\$200 – \$500	Mostly organic + targeted ads later
Legal / Accounting	\$300 – \$800	Occasional needs
Total Monthly Burn	\$4,000 – \$7,000	Very lean

Break-even: Expected within 6–9 months with 2–3 solid licensing deals.

Key Metrics Targets

Metric	Year 1 Target	Year 2 Target
Active Paying Customers	5–10	15–25
Average Revenue per Customer	15k–25k/year	25k–50k/year
Gross Margin	85%+	88%+
Customer Acquisition Cost (CAC)	Low (mostly organic + targeted outreach)	—
Lifetime Value (LTV)	High (recurring licensing)	—

Valuation Context (Early Stage)

- **Pre-revenue / Early traction valuation:** \$500K – \$2M (depending on IP strength and team)
- **With first 100K–200K revenue + pilots:** \$2M – \$5M+ possible in strategic discussions
- **Strategic value:** High for DAW companies, music platforms, or rights management firms looking for differentiation and defensibility.

Note: These are conservative, bootstrapped projections. Actual results will depend on execution, partnerships, and market adoption. The strong technical moat significantly increases strategic value.

Prepared for investor, partner, and licensing discussions.